



Tandy Corporation/Radio Shack

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TRS-80 MARKETING CONCEPT

REMARKS BY RON STEGALL
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1982

Now that you have had the opportunity to see a fairly detailed overview of the exciting new additions to Tandy's TRS-80 Product Line for 1982, what I would like to do for the next 20 minutes is to give you some insight into our overall marketing concept and plan, a plan that with the exciting additions to our line that you have seen here today, we feel very confident will keep the TRS-80 the #1 selling microcomputer in the world.

Our marketing plan starts with our most obvious asset and that is distribution. Today, Radio Shack has over 4,000 full line company owned retail stores that market as part of their product mix the TRS-80 product line. These 4,000 stores ensure that the TRS-80 is available in virtually every market in the United States with a population of 25,000 or greater.

To even widen this network of distribution there are an additional 2,000 authorized dealers and franchise stores in the United States that offer at least part, if not all, of the complete TRS-80 line. These 2,000 dealers are generally located in the smaller U.S. cities and towns with a population bases of 15,000 or less.

Realizing several years ago that to successfully market microcomputers to the business and educational community required more expertise and after the sale support than the other consumer electronics lines that we have

historically been so successful with, we made a decision to select approximately 100 retail stores in the United States and establish a special department in these stores that was dedicated totally to the marketing of the TRS-80 Product Line.

The purpose of this department's designs was to not only be a localized sales center but to be a knowledgeable support source for all of the retail stores as well as customers in the market area.

This Computer Department concept has been extremely successful for our company. Today, we have in operation over 430 of these departments in the United States (approximately 10% of our Retail locations) and plan to continue to expand this concept in the months ahead. These 430 departments are evaluated monthly on their own Profit and Loss Statement and the Department Managers are compensated as with all our Store Managers on their P&L results.

What this program brings to our marketing plan is that in every U.S. market that we currently have 5 or more retail locations, that one of these stores has a dedicated department that offers our customers in that market:

- 1) a complete inventory on hand of every TRS-80 product in the line
- 2) a sales manager, as well as additional marketing staff in most cases that are professionals trained in selling the customer the TRS-80 products to best serve their particular needs

- 3) as well as a support function for not only the department's customer base but the total market customer base that ensures our customers the answers to their hardware or software questions so often confronted in initially putting a system to work.

However, the total marketing plan for the TRS-80 really begins to fit together with this next marketing unit; the Radio Shack Computer Center. Today, we have over 225 dedicated computer centers in operation in the United States; at least one in each of the top 200 U.S. markets. This number is continuing to grow at the pace of approximately 10 new centers per month. With the major expansion taking place in the top 50 United States markets.

This expansion program continues to produce exceptional volume retail location for our company, as well as to have no significant effect on the continued growth that we are experiencing in our existing Computer Center units as we add additional centers to a market.

The Radio Shack Computer Center offers to the TRS-80 owner the finest support available in the microcomputer industry today. These centers make us the only manufacturer of microcomputers who can directly support the end-user of our equipment from virtually any major point in the nation. The concept of the RSOC is total support to our customers; total support before the sale, during the sale, and total support after the sale.

By total support before the sale each of our RSOC's offers:

- 1) A complete showroom inventory of the total TRS-80 product line, as well as related electronics office equipment on hand in a professional atmosphere for our customers to see and receive demonstrations on.
- 2) A professional sales staff that is trained to be able to analyze the needs of our customers and to help them select the TRS-80 equipment required to best meet their needs.

Professional training is something that Radio Shack has not taken lightly. Today, we have 21 Regional Computer Marketing Managers in place in the field (one in each Geographic Region) whose total responsibility is to assist in the recruiting and training of our Computer Department and Computer Center personnel.

Within 90 days of the employment date, a new Marketing Representative, of which most of them come to us with considerable previous sales experience, will be required to attend over 40 hours of classroom training directed by the Regional Computer Marketing Manager. Each class requiring considerable preparation on the part of the Representative as well as follow-up study after the class. Of course, this class training is taking place in conjunction with the continued on the job training that each representative receives in their center.

After completion of the first 90 days of training, each successful Representative will continue his/her training with an additional 30 - 40 hours of advanced classroom training over the next 3 months. The end result of this concentrated training effort is a totally knowledgeable and productive Marketing Representative within six months of employment, completely capable of meeting most customers needs.

Having this training staff and program in place, of course, is a major advantage to our company as we introduce here today these major enhancements to our TRS-80 product line. It gives us the assurance that as each of these new innovative products hit the market place that our people will be totally familiar with the products and their capability and will not only be capable of selling this new equipment, but they will be capable of supporting it as well.

By total support during the sale each of our RSCC's offers:

- 1) A large on hand backup inventory of products available in each center offering off the shelf delivery of most products to our customers.
- 2) The largest selection of ready to run application software available from any microcomputer company in stock and ready to be put to work on our equipment.
- 3) A complete on hand inventory of accessories for our equipment from the desk it sits on and the chair you sit in to the ribbons, paper, custom checks or forms required to put the equipment to work. This makes our Centers the most complete one-stop computer shop in the marketplace.
- 4) Our Centers also offer an easy payment plan for our business customers. This plan is made available through our Tandy Computer Leasing Company here in Ft. Worth, Texas.

And most important, each of our Centers offer our customers total Support after the sale with:

- 1) The availability of our training center located within each computer center. Each training center is staffed by a full time training director offering complete hands on operator training for our customers and their employees on most software application packages sold in the center.
- 2) The availability of an on-premise repair shop in most centers, offering while you wait repairs for many minor problems and next day service on most more complicated repairs.
- 3) The availability of three different types of maintenance agreements for our TRS-80 equipment, from our low cost carry-in contract to a total unlimited on-site maintenance program for our products.
- 4) The availability of a specialized non-commissioned Customer Service Representative dedicated to helping train and support our customers in getting their system up and running. An individual whose total responsibility is answering those technical questions that so many times go unanswered. Realizing that no one person can know all, each Customer Service Representative has access to a toll free line direct to our technical support group here in Ft. Worth to ensure our customers not only a quick response to their questions, but a correct response.

In our advertising, we use the slogan the TRS-80 is the best supported microcomputer in the world, and in summary the Radio Shack Computer Center is what we believe makes that statement true today and what we believe will keep that statement true in the years to come.

The last part of our overall Marketing Plan is aimed at capitalizing on those specialized markets that we feel our Retail Distribution can not adequately address.

The first such specialized market is the educational school market that Mr. Phillips described earlier today.

The second specialized market that we are addressing and probably the market with the greatest potential, is the large Fortune 1000 companies. Realizing the tremendous capability and versatility that the small business computer can offer to big businesses and the strong fear and resistance that many of these companies have toward possibly losing control of their centralized systems, we have recruited 20 specialists, one for each region, to totally devote their efforts and years of experience toward marketing the microcomputer concept to these large companies.

Although this program has been in full swing for only a few months, the results that we have experienced and see in the near future are tremendous. To date we have signed purchase agreements with over 200 of these top U.S. companies and have completed plans for conducting Data Communications Management seminars in every major city in the U.S. over the next 6 months to penetrate even farther into these giant corporations the Tandy product line and support capability story.

This aggressive Fortune 1000 marketing plan is definitely not unique to the market place, but contrary to how many manufacturers have structured their plans to conflict with their retail distribution network, ours is designed not to circumvent our retail system but to support it. All large account sales as with our educational sales are delivered through our local Computer Centers across the country; therefore, addressing two critical areas.

- 1) Ensuring that these large potential users receive the tremendous local support that our computer centers have the capability to offer.
- 2) Ensure that our overhead costs of the on going sales and support required by these large corporations are held in line with our system pricing.

The last specialized market that we are addressing is the tremendous vertical distribution system available through the different software OEM houses throughout the United States.

To address this very specialized market, we are offering to a very select quality group of houses the TRS-80 product line under our OEM agreement to market in conjunction with their quality specialized market software. These packages are totally supported by the OEM company and this appears to be an interesting potential market for our equipment.

In conclusion, it is Tandy's overall opinion that Radio Shack is in a very strong position today to continue to achieve a very significant share of the rapidly expanding microcomputer market. We believe that our proven operational Field Management Team of 158 District Managers, 21 Computer Marketing Managers, supervised by 21 Regional Managers and 5 Divisional Managers puts our company in a very ideal position to not only expand our operations and personnel at a very rapid pace, but to also be able to react and adjust quickly to this rapidly changing market.

We know that the TRS-80 is the #1 selling microcomputer line in the world today and believe that we are prepared to maintain that position in the years to come.